

KEEPING HAWAI'I'S FAMILIES OUT OF POVERTY

How federal and state tax credits lift tens of thousands of local residents above the poverty line — and what expanding them would do.

A POLICY BRIEF

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34,462

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AT A GLANCE

**34,462
people**

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\$130M

in poverty gap closed annually by these three tax credits.

+5,359

additional residents would be lifted out of poverty if Hawai'i enacted a \$650-per-child state Child Tax Credit.

Hawai'i has the highest cost of living in the nation. Rent, food, and child care consume a disproportionate share of working families' budgets, pushing many local residents into poverty even when they hold full-time jobs. Refundable tax credits — dollars paid directly to low- and moderate-income filers — are among the most effective anti-poverty tools we have, and they pay for themselves several times over in stronger family budgets, healthier kids, and reduced reliance on safety-net programs.

This brief uses the Supplemental Poverty Measure (SPM), the Census Bureau's more comprehensive measure of poverty, applied to the American Community Survey 5-Year Public Use Microdata Sample for Hawai'i (2018–2022). It estimates how many local residents are kept above the poverty line each year by the federal Earned Income Tax Credit (EITC), the federal Child Tax Credit (CTC), and Hawai'i's state EITC — and what would happen if Hawai'i expanded its own credits.

In TY2024, an estimated 161,785 Hawai'i residents (12.4%) lived below the SPM poverty line. Together, the federal EITC, federal CTC, and Hawai'i state EITC reduce the SPM poverty rate by 2.6 percentage points — keeping 34,462 residents above the line. Without these credits, approximately 196,247 residents would be in poverty.

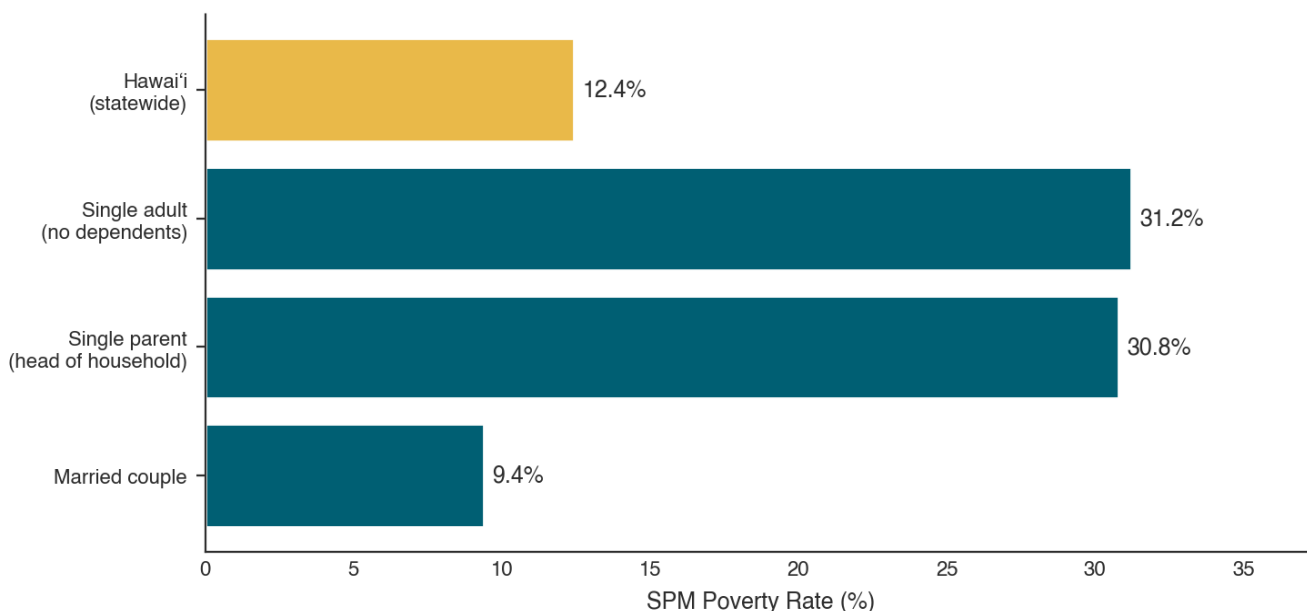
Source: U.S. Census Bureau 5-Year ACS PUMS 2018-2022; Census-Forecaster tax simulation model, Hawai'i Appleseed 2025

BACKGROUND

WHO BEARS THE BURDEN OF POVERTY IN HAWAI'I?

Poverty in Hawai'i is not spread evenly. Single-parent households face an SPM poverty rate of 30.8% — more than 3 times the 9.4% rate among married-couple households. These are the families most exposed when rent increases, child-care costs rise, or a job is lost — and they are the primary beneficiaries of the tax credits analyzed in this brief.

Figure B1. SPM poverty rate by household type, Hawai'i (TY2024)

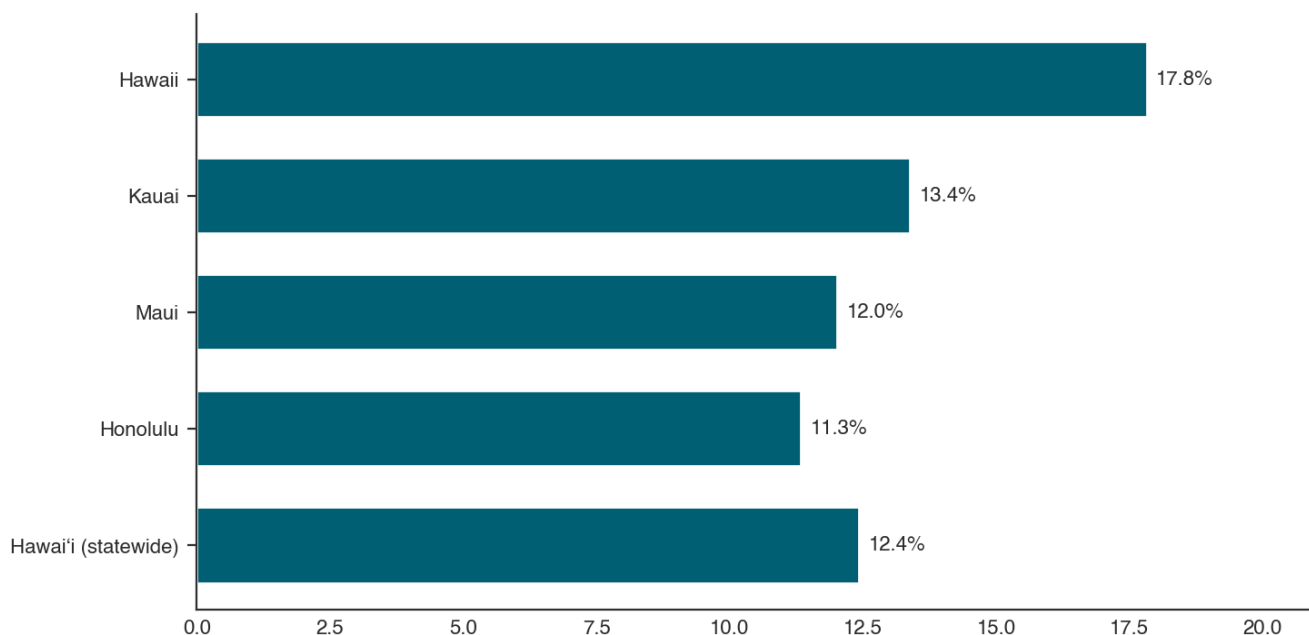


Racial disparities compound this picture. Pacific Islander households (NHPI alone) have an official poverty rate of 21.7% — nearly twice the 11.2% rate for White alone residents. The median personal income for NHPI-alone earners is \$40,610/year, compared to \$51,778 for White alone earners — a gap of \$11,168. (Source: ACS 2024 1-Year PUMS, official poverty measure.)

Source: U.S. Census Bureau 5-Year ACS PUMS 2018-2022; Census-Forecaster tax simulation model, Hawai'i Appleseed 2025

HOW MANY HAWAI'I RESIDENTS ARE IN POVERTY?

Figure 1. Supplemental Poverty Measure rates by county, Hawai'i (TY2024)

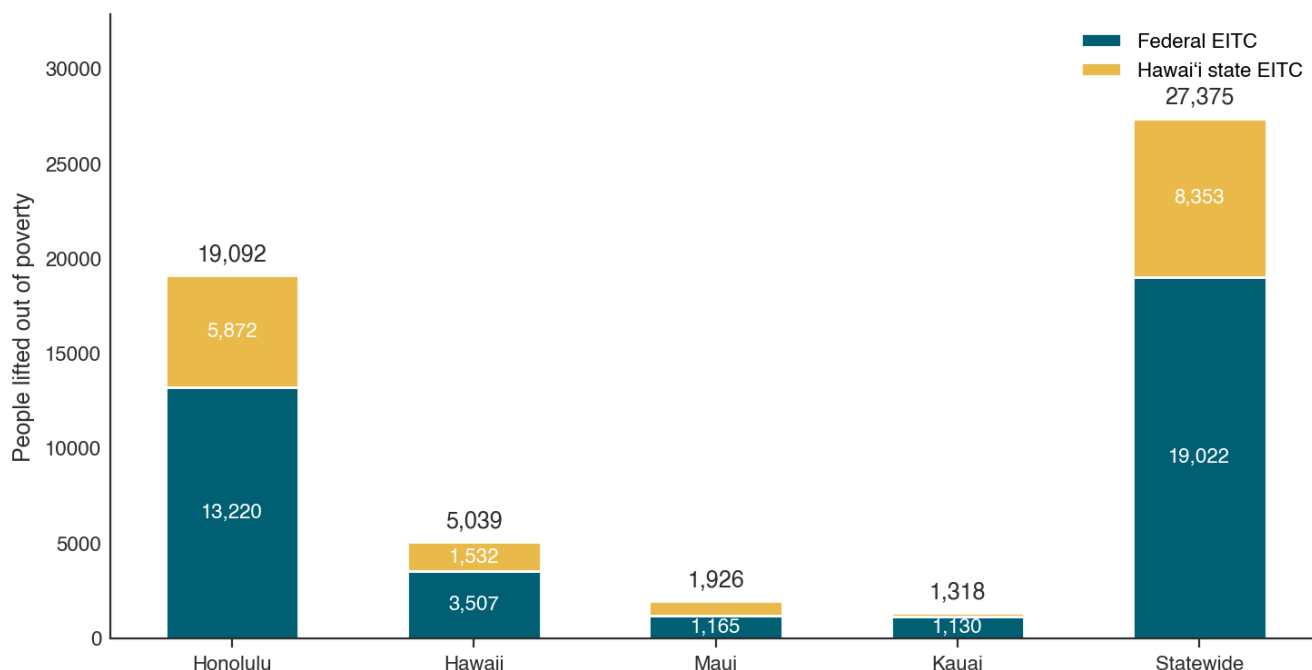


Under the Supplemental Poverty Measure, an estimated 161,785 Hawai'i residents — 12.4% of the state population — lived in poverty in TY2024. The SPM differs from the official poverty measure by accounting for taxes, refundable tax credits, non-cash benefits, medical out-of-pocket costs, and Hawai'i's above-average cost of living.

Neighbor-island counties show higher SPM rates than O'ahu, reflecting lower wages combined with rents and food prices that remain near urban-Honolulu levels. These geographic differences are why a flat federal threshold understates poverty in Hawai'i.

HAWAI'I'S LARGEST ANTI-POVERTY CREDIT

Figure 2. People lifted out of poverty by EITC (federal + state), by county (TY2024)



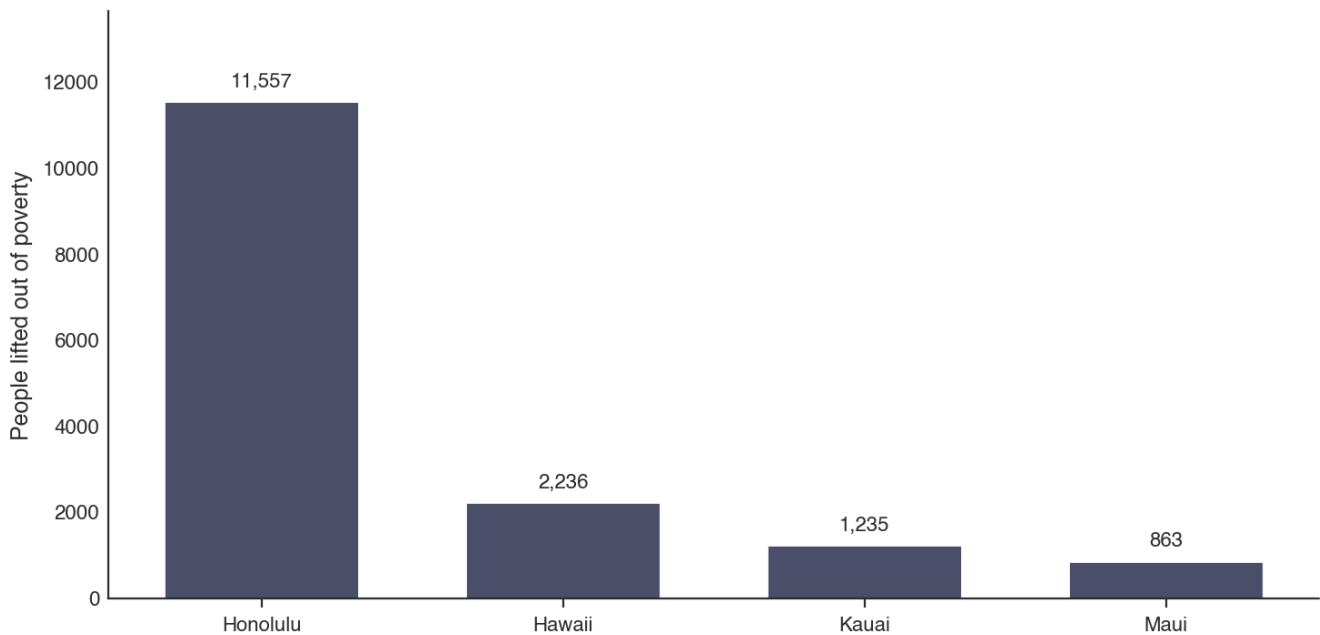
The Earned Income Tax Credit is Hawai'i's single most powerful anti-poverty tool. The federal EITC alone reduces the SPM poverty rate by 1.5 percentage points, lifting 19,022 residents above the poverty line each year. Hawai'i's state EITC — made fully refundable and raised to 40% of the federal credit by Act 209 (2023) — reduces the rate by an additional 0.6 percentage points, lifting 8,353 more residents. Combined, the two EITCs keep roughly 27,375 local residents out of poverty annually (sum is approximate; the credits interact).

Both credits are fully refundable, targeted at low- and moderate-income workers, and scale with earnings up to a plateau — rewarding work while still reaching the lowest-income families. Because EITC dollars arrive as a tax refund, they typically flow back into the local economy through rent, groceries, and child care.

Hawai'i's 40% state match is now among the most generous in the country. Raising it further — or simplifying eligibility for the lowest-income filers — would deliver meaningful additional poverty reduction at modest fiscal cost (see expansion scenarios below).

THE FEDERAL CHILD TAX CREDIT

Figure 3. People lifted out of poverty by federal Child Tax Credit, by county (TY2024)

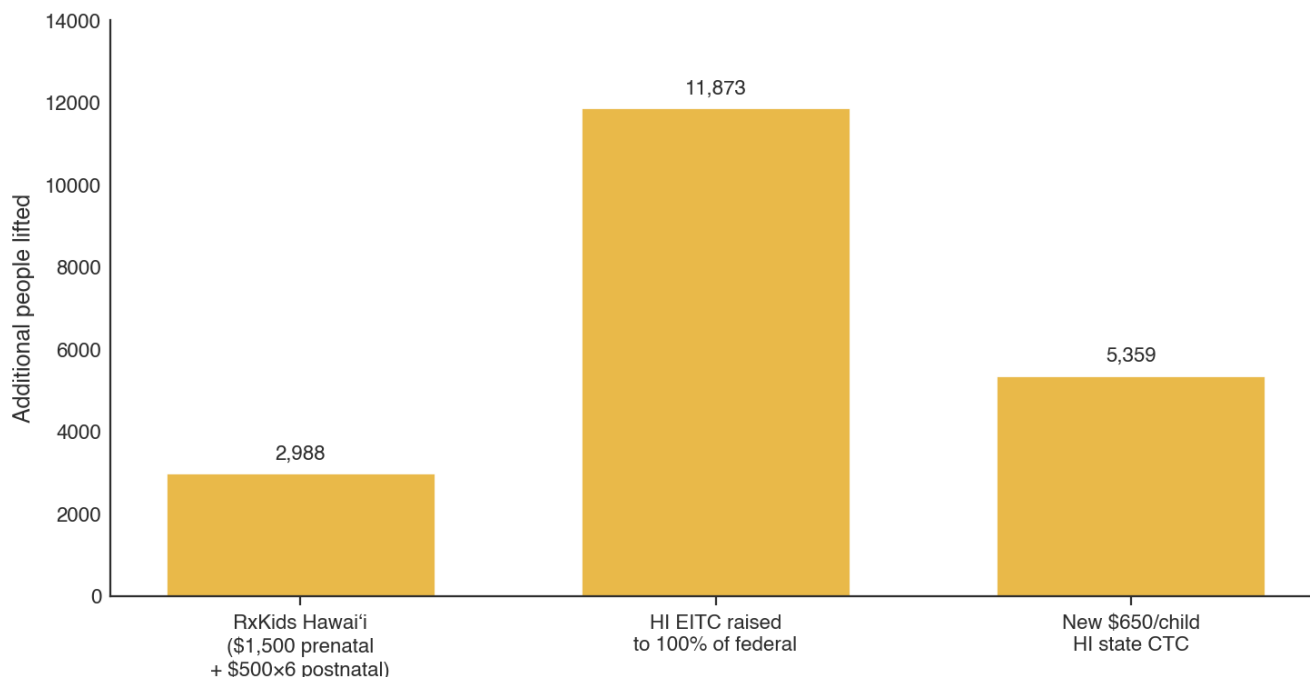


The federal Child Tax Credit reduces the SPM poverty rate by 1.2 percentage points, lifting 15,891 Hawai'i residents above the poverty line. After the American Rescue Plan's 2021 expansion expired, the credit reverted to a partially refundable structure that leaves many of the lowest-income families with less than the full benefit.

Even in its current form, the CTC remains one of the most powerful tools available for reducing child poverty in Hawai'i — and is among the credits whose expansion would have the largest incremental impact on families with young children.

A CASH PRESCRIPTION FOR HAWAI'I'S YOUNGEST

Figure 4. Additional people lifted out of poverty by proposed expansions (TY2024)



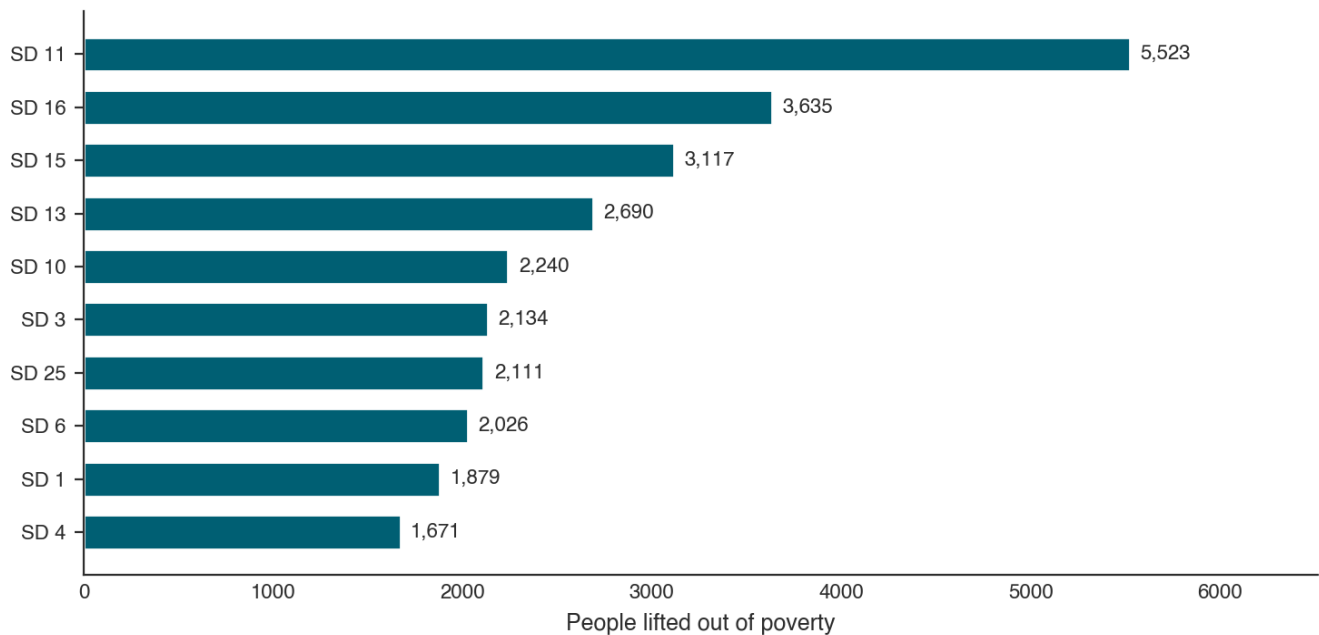
RxKids is a prenatal-and-infant cash-transfer program first launched in Flint, Michigan and now operating in 35+ Michigan communities. A Hawai'i-equivalent program — modeled here as an unconditional benefit available to all expecting mothers regardless of income — would provide a one-time \$1,500 payment during pregnancy and six monthly payments of \$500 beginning at birth (\$3,000 postnatal total per child).

Under this design, an estimated 2,988 Hawai'i residents would be lifted above the SPM poverty line, reducing the SPM poverty rate by 0.2 percentage points and closing \$11M in poverty gap. The program would cost roughly \$60M per year statewide — reaching all ~15,500 annual births with a combined \$4,500 per pregnancy benefit.

The SPM poverty-line crossing count is a conservative floor on the program's value. Research on the Flint program documents significant downstream effects on birth weight, maternal mental health, and infant developmental outcomes that are not captured in the poverty-rate metric. For comparison, Figure 4 also shows the projected lift from the two other proposed Hawai'i credit expansions modeled in this brief.

BY STATE SENATE DISTRICT

Figure 5. People kept out of poverty by all three credits, top 10 senate districts (TY2024)

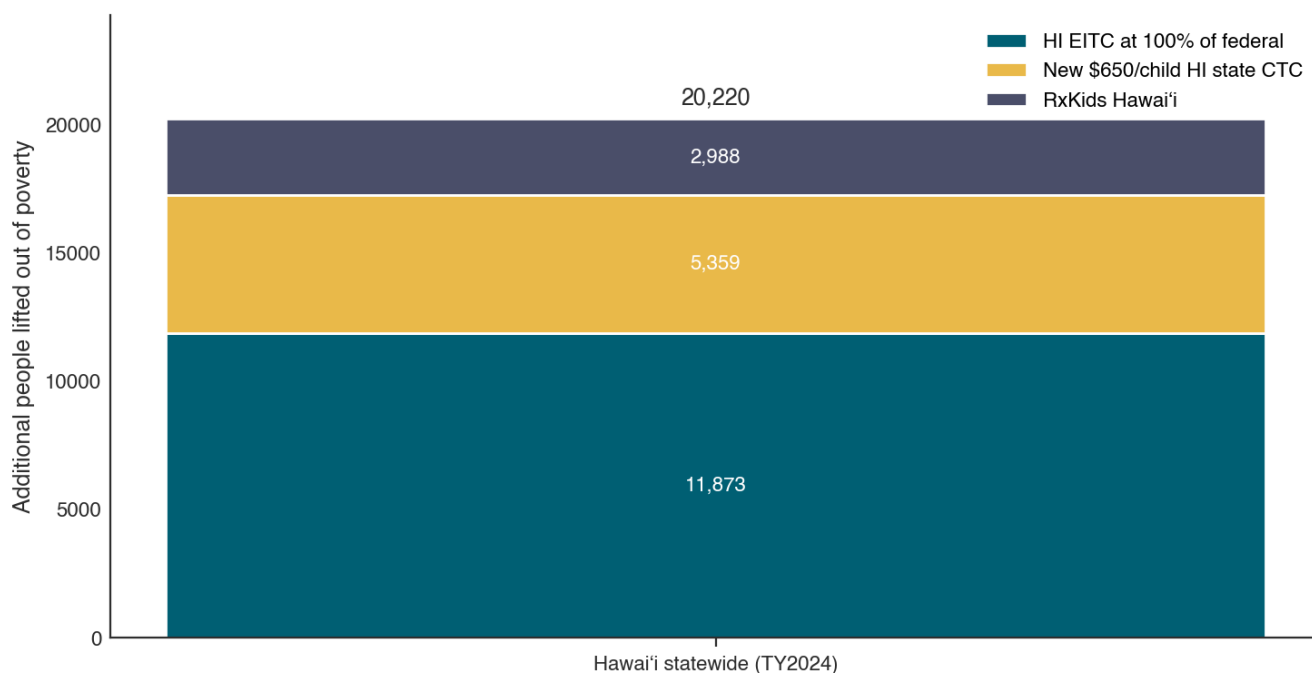


Looking across the state's 25 Senate districts, the top ten districts — generally those covering working-class neighborhoods on O‘ahu and the neighbor islands — account for more than half of all residents lifted out of poverty by the three credits combined.

These district-level estimates are useful for legislators evaluating who in their communities benefits today — and how many more would benefit if Hawai‘i expanded its credits.

WHAT MORE COULD BE DONE?

Figure 6. Additional people lifted by proposed expansions — additive (TY2024)



Policy scenario	Est. people lifted	Gap closed	Annual cost*
Raise HI state EITC to 100% of federal	11,873	\$24M	~\$30M
Enact new \$650/child HI state CTC	5,359	\$15M	~\$83M
RxKids Hawai'i (proposed)	2,988	\$11M	~\$60M
All three combined	~20,220	\$50M	~\$173M

* Annual cost figures are legislative estimates from prior fiscal notes, not produced by this model. Persons-lifted and gap-closed figures are model output and may differ from other estimates because they reflect the SPM definition of poverty and IRS-calibrated take-up.

Any of these three policies would meaningfully reduce poverty in Hawai'i. Enacted together, they represent a comprehensive strategy: expanding EITC reaches low-income workers; a new state CTC supports parents of young children; and RxKids delivers direct cash to expecting mothers and infants in the critical first months of life. Because all three channels target the families with the lowest incomes, every dollar is likely to flow back into the local economy through rent, food, and child care.

METHODOLOGY

HOW WE DID THIS

These estimates are produced by the Census-Forecaster tax simulation model maintained by Hawai'i Appleseed. The model uses the U.S. Census Bureau's 5-Year American Community Survey Public Use Microdata Sample (ACS PUMS) for Hawai'i, 2018–2022, projected forward to the tax year of interest using a recency-weighted, cadence-aware damped-trend ensemble.

Poverty is measured using the Supplemental Poverty Measure (SPM), the Census Bureau's comprehensive poverty measure. Unlike the official poverty measure, the SPM accounts for federal and state tax payments, refundable tax credits, non-cash benefits such as SNAP and housing subsidies, medical out-of-pocket costs, and Hawai'i's above-average cost of living through a geographic adjustment to the poverty threshold.

Following Census P60-280, poverty is measured at the SPM-unit level (the resource-sharing group within a household: householder + relatives + unmarried partner + foster children + any unrelated children under 15), not at the tax-unit level. Tax credits and benefits are computed on tax returns and then summed to the SPM unit for the poverty comparison.

Counterfactual scenarios are static: each scenario re-runs the SPM calculation with the relevant credit removed (or expanded), holding labor supply and program take-up fixed. Take-up of each credit is calibrated to IRS SOI Hawai'i totals so that modeled receipt matches administrative records, not statutory eligibility.

District-level estimates (Senate and House) reflect within-PUMA imputation and carry larger uncertainty than statewide and county figures — typically ± 20 percent at the district level. Statewide totals are within roughly 5 percent of administrative benchmarks where available.

The methodology, parameters, and full results tables are documented in this project's public methodology files (METHODOLOGY.md, REVIEW_FINDINGS.md). The model and its source code are maintained as a Python package; a v2 release was published in 2025.

ABOUT

ABOUT HAWAI'I APPLESEED

Hawai'i Appleseed Center for Law & Economic Justice is committed to a more socially and economically just Hawai'i, where everyone has genuine opportunities to achieve economic security and fulfill their potential. We change systems to address inequity and foster greater opportunity by conducting data analysis and research to address income inequality, educating policymakers and the public, engaging in collaborative problem solving and coalition building, and advocating for policy and systems change.

The work of Hawai'i Appleseed is about people. The issues we work on — housing, food, wages, mobility, the state budget and taxation, and racial and indigenous equity — are important because they ensure people have access to shelter, sustenance, and the means to survive and thrive individually and collectively.

AUTHOR

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Source: U.S. Census Bureau 5-Year ACS PUMS 2018-2022; Census-Forecaster tax simulation model, Hawai'i Appleseed 2025